

nimbler players like Nykaa, Mamaearth, the Good Glamm Group, who are chipping away at the edge and plugging product gaps in the market. Is this a very different kind of challenge that Marico has to contend with today?

A: Let me go deep into this subject. The FMCG business has always been seen as one of the most defensive sectors, in the sense that very little discontinuity impacted the sector. But today, the emergence of D2C (direct to consumer) brands is a huge disruption for FMCG. Some of the entry barriers which existed earlier, in terms of distribution, infrastructure creation—you had to distribute your products into thousands and lakhs of outlets to achieve a certain scale. You had to advertise on mass media like television or print, and that required big budgets. Now in the case of D2C brands, you can do digital marketing; you need not advertise on mass media at all; you don't need to create a massive distribution network; [and] you can sell through e-commerce platforms. So those old entry barriers have vanished. On top of that, there are many funders who are eager to fund you, and so we have seen brands like Mamaearth and others that have emerged in the last few years. For us, there are two ways of looking at it: One is to view these entrants from a threat perception—that is how they will impact my core business; another is to look at them through an opportunistic lens.

At Marico, we have chosen the second path—viewing this discontinuity from an opportunistic angle. We have acquired three brands which are D2C. The first was Beardo, in beard-related products; the second was Just Herbs in personal care; and we have just acquired a foods company, True Elements. We also have two or three of our own D2C brands. The key is not to have the same mindset in managing the FMCG business, as you do with the D2C business. So we have put all these three brands plus our own brands at a different location, manned by a different team much younger, and they have been told to work nimbly like a small outfit. Now, the challenge is, can you scale them up? Beardo, for example, this year we expect to do ₹100 crore of business, and over the next two years, we expect that the D2C

ON D2C

The emergence of D2C is a huge disruption. Some of the entry barriers that existed earlier like distribution and infrastructure, required big budgets. Now D2C brands can do digital marketing, not advertise on mass media, or create a massive distribution network; [and] sell through e-commerce platforms.

ON LEARNING FROM FAILURES

We identified an opportunity to get into baked snacks under the Saffola brand. Since it was under the Saffola brand, we thought health would have to be the salient plank. So we gave preference to health over taste. We failed to realise that it was an impulse product and the consumer rejected it, but there was a huge learning.

ON TALENT

As I was not a functional expert, I had to hire the best talent... in the hope that they would bring their experience to the table and add value to the company.

brands of ours would add up to about ₹500 crore of business. That is a great start.

Q: Yes, and some of these will inevitably stumble; and in your book, you speak a lot about failures and how important failures have been in your career.

A: Absolutely. Unless you experiment, unless you fail, you'll never learn because there are limitations to market research. No amount of market research is going to give you all the answers. There is just no shortcut to launching products and testing them with real consumers. So, it's vital for organisations to take that risk and study the consumer reaction, not only to the product but the brand name, the packaging, the pricing, and so on.

Let me give you one example: about eight or 10 years ago, we identified an opportunity to get into baked snacks under the brand umbrella of Saffola. At that time, there were no baked snacks, but the biggest mistake we made was in thinking that since it was under the brand name Saffola, health would have to be the salient plank and so we gave preference to health over taste. We failed to realise that it was an impulse product. If you're sitting in the afternoon with a cup of tea, or with a drink in the evening, you want something that is tasty and not just healthy. So, the consumer rejected the product but there was a huge learning for us in that failure.

After a few years we decided to go into Saffola oats. Halfway through, we realised that Indians like savoury breakfasts and not sweet breakfasts. So we asked, can we do what Maggie did to noodles, by offering a range of savoury oats? We profiled the consumer preference in each and every state, this time going overboard on taste. For example, in Tamil Nadu, we had a Pongal Masala Oats and some other states where they require a hotter version, we offered that instead. This time, the product was a huge success. We have an 80 per cent share in that market, which is now a ₹300-crore category, just by learning from the failure of our baked snacks foray. So, there is always a silver side to any failure in terms of learning, as long as you can analyse what exactly went wrong and apply it in your next initiative.